

External and Internal Market for Managers

Gabriel Toledo
New York University

November 3, 2024

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This paper studies the labor market for managers by examining both between and within firm reallocation channels. I document that approximately 40% of the inflows into managerial positions come from internal promotions, a flow comparable in size to the job-to-job transitions into the same roles. I develop a labor search model with internal reallocation and on-the-job learning. External flows depend on how firms are currently internally organized. Internal flows depend on the extent of skill accumulation of workers under managers and on external hiring and separation events. Using administrative data from Germany, I document that managers receive a substantial wage premium and play a key role in the skill development of workers within the establishment. The model matches observed external and internal flows into managerial positions and provides insights into how these channels operate across the talent distribution. Lastly, I evaluate policy implications of targeted Non-Compete Agreements, finding that restrictions on managers lead to fast-tracked promotions and reduced output, whereas non-compete on workers enhance skill accumulation and increase productivity.

I thank Ricardo Lagos, Guido Menzio and Katarína Borovičková for their guidance and support. I also thank Diva Astinova, Corina Boar, Jaroslav Borovička, Giacomo Catellan, Felipe Camelo, Gian Luca Clementi, Nik Engbom, Hugo Hopenhayn, Marios Karabarbounis, Fernando Lopes, Yucheng Lu, Angelo Mendes, Virgiliu Midrigan, Kosha Modi, Nicolas Morales, Nicolas Pimentel, Alessandra Peter, Todd Schoellman, Robert Shimer, Kazmier Smith, Marcos Sonnervig, Venky Venkateswaran and Cesar Zambrano and seminar participants at the NYU and the Federal Reserve Banks of St. Louis and Richmond. This study uses the Linked Employer Employee Data longitudinal model 1975-2019 (LIAB LM7519) from the IAB. Data access was provided via on-site use at the Research Data Centre (FDZ) of the German Federal Employment Agency (BA) at the Institute for Employment Research (IAB) and subsequently remote data access under project number fdz2585. Author email: gabriel.toledo@nyu.edu. Website: gstoledo.github.io